Small-Cap Surge Continuation Study

Does early-session volume tell you whether a 30%+ mover keeps running?

Odin Catalyst LLC · Momentum / UOA Radar research · July 2, 2026 · 2,980 events analyzed · 2-year lookback

Executive summary

We examined every small- and micro-cap U.S. stock that jumped 30% or more in a single day over the past two years — **3,122 surges** — and reconstructed how each traded intraday, 30 minutes at a time, against its own normal volume. The question: does the volume behind a surge tell you whether it keeps trending up or fades?

The answer is counterintuitive and consistent: **heavier early volume predicts less continuation, not more.** Quiet, orderly surges tend to grind higher and close near their highs; explosive, high-volume blow-offs tend to spike early and fade. The cleanest 'ride it' setups are moderate moves on moderate volume — not the loudest names on the tape.

Key finding

When first-hour volume was under ~1× the stock's normal daily volume, the surge continued higher into the close **95%** of the time (avg **+29%** further). When first-hour volume topped **10×** normal, continuation fell to **62%** (avg +12%). More volume meant more exhaustion risk.

What we tested

Universe: 3,257 currently-listed U.S. small/micro-caps (market cap ≤ $2B, price ≥ $0.50, non-ETF; NASDAQ / NYSE / AMEX).

Event: a ≥30% single-day gain (close vs. prior close). 3,122 events found; 2,980 had complete intraday + volume history and were analyzed.

Data: end-of-day and 30-minute intraday bars (price and volume) from institutional market-data APIs.

'Relative volume': each surge's volume is measured against that stock's own trailing 20-day average daily volume (ADV) as of the surge — the same read a live screen sees at the open.

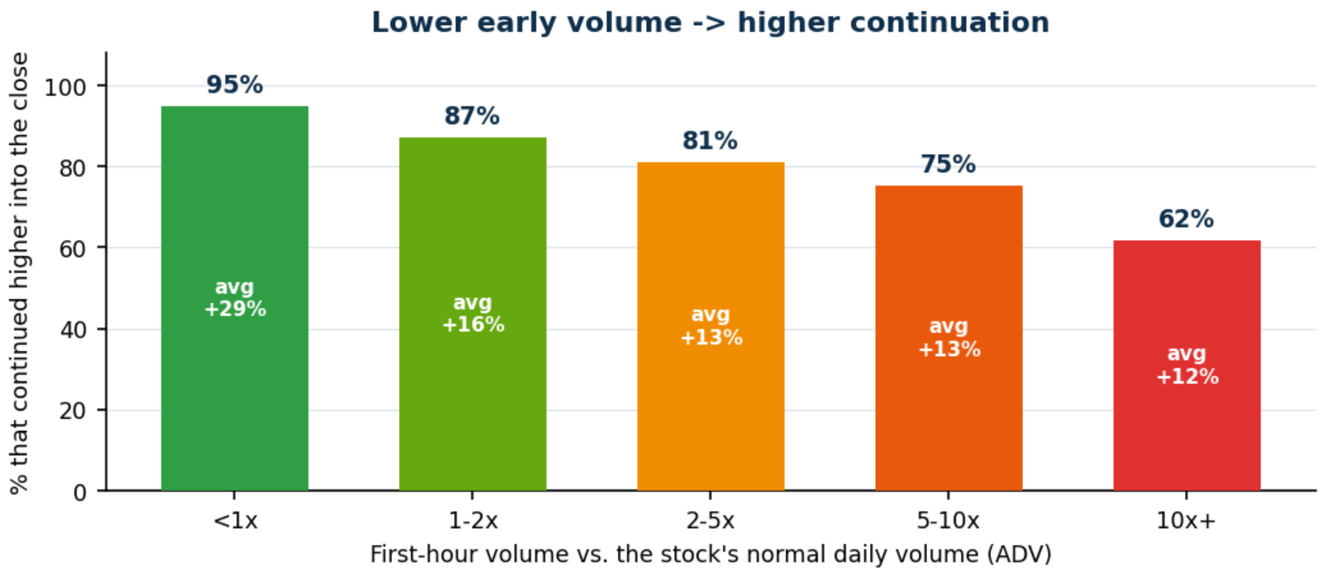
Continuation: measured two ways — *same-day* (did it hold and extend after the first hour) and *forward* (from the ~10:30 a.m. ET mark to the close).

Results — same-day behavior by early volume

Early volume (vs ADV)	Events	Closed up	Held 1st-hr gain	New high after 1st hr	Close-in-range *
< 0.5x	1,072	96.0%	95.8%	95.1%	0.77
0.5-1x	325	97.2%	93.8%	93.5%	0.76
1-2x	369	93.5%	87.5%	87.8%	0.74
2-5x	360	92.8%	81.7%	80.6%	0.72
5-10x	210	89.0%	75.2%	75.2%	0.66

10x +	644	68.5%	62.7%	56.4%	0.50

*Close-in-range: where the stock closed within its daily high–low (1.0 = at the high, 0 = at the low). Correlation between early volume and closing strength: –0.115.



Results — forward test from the 10:30 a.m. decision point

If you entered at the first-hour mark on what you could actually see (the move so far and the volume behind it), did price continue up to the close?

By first-hour volume

First-hour volume (vs ADV)	Events	Continued to close	Avg further gain
< 1x	1,397	95.0%	+29.0%
1-2x	369	87.3%	+15.6%
2-5x	360	81.1%	+12.9%
5-10x	210	75.2%	+13.2%
10x +	644	61.8%	+12.0%

By size of the first-hour move

First-hour move	Events	Continued to close	Avg further gain
< 10%	1,679	86.5%	+24.1%
10-25%	899	88.9%	+17.2%
25-50%	305	68.2%	+14.2%
50% +	97	39.2%	+12.7%

Read together: the tape you want is a **controlled advance** — a moderate opening move that keeps making higher highs on ordinary volume. A first hour already up 50%+ or trading 10×+ its normal volume is far more likely to be a climax than a launchpad (continuation drops to ~39% and ~62% respectively).

Risk & limitations

Survivorship. The universe is currently-listed names, so surges from since-delisted tickers (many that pumped and died) are excluded — real-world continuation is likely *lower* than shown.

Selection. Events were chosen because they *ended* the day ≥30% up, which favors winners; the forward test still inherits this bias. The unbiased version requires logging first-hour movers live, going forward (planned).

Tradeability. Micro-cap spreads, slippage, and trading halts can erase a statistical edge; verify liquidity name by name.

Base rates, not guarantees. News, float, and market regime dominate any single event.